

# Franklin OnChain U.S. Dollar Short-Term Money Market Fund

## Risk Disclosure Statement

28<sup>th</sup> April 2026

### 1. Purpose of this Notice

This Notice provides a description of the risks associated with investing in and transacting in Virtual Assets, including the FT Money Market Fund Token (the "Token").

This Notice should be read together with the Whitepaper and all relevant fund documentation.

### 2. Risk of Loss

Investment in the Token involves a risk of loss of part or all of the invested capital.

Returns are not guaranteed.

The value of the Token reflects the performance of the underlying money market fund and may fluctuate due to changes in market conditions, interest rates, credit conditions, and liquidity dynamics. Investors may receive less than their original investment, or nothing at all.

### 3. Nature of the Product and Rights

The Token is a digital representation of an investor's economic exposure to an underlying money market fund accessed through Tokinvest's platform.

The Token:

- does not represent legal or beneficial ownership of fund units or underlying assets;
- does not constitute a claim on the fund, its issuer, or its portfolio; and
- does not constitute a claim on the general assets of Tokinvest.

Tokenholders have contractual rights solely against Tokinvest in respect of:

- platform access;
- submission of subscription and redemption instructions; and
- receipt of economic outcomes as determined and recorded in Tokinvest's internal systems.

All rights are contractual in nature and depend on the proper functioning of Tokinvest's platform and the wider distribution chain.

### 4. No Direct Relationship with Fund Issuer

Investors:

- are not registered as unitholders in the underlying fund;
- have no direct contractual or legal relationship with Franklin Templeton or any fund entity; and
- cannot exercise rights directly against the fund or its service providers.

Access to the fund is entirely intermediated through Tokinvest and its appointed distribution partners.

## **5. Intermediation Chain Risk**

Investment in the Token relies on a multi-party structure involving:

- Tokinvest (platform operator and sub-distributor);
- appointed distributor(s), including Pinetree; and
- the fund issuer and its administrators and custodians.

The ability to access, transact in, or realise value from the Token depends on the continued operation of all parties within this distribution chain.

Failure, delay, or disruption at any level may:

- delay or prevent execution of subscriptions or redemptions;
- affect pricing, settlement, or availability of liquidity; or
- impair investor access to economic outcomes.

## **6. Tokinvest Custody Model**

Virtual Assets are held within a Tokinvest-operated platform environment and supported by third-party custody providers.

Tokinvest is not a VARA-regulated custodian and provides custody only as an incidental activity to its Brokerage Services, utilising third-party VARA-regulated custodians and/or custody technology providers.

Custody arrangements may involve multiple layers of infrastructure. Failures or disruptions at any level may affect access to Tokens.

## **7. No Investment Advice**

Tokinvest does not provide financial, legal, tax, or investment advice.

Nothing in this Notice constitutes a recommendation or personalised advice.

Investors are responsible for conducting their own independent assessment.

## **8. No Clearing or Third-Party Brokerage**

Tokinvest does not provide clearing services for other VASPs and does not introduce clients to other VASPs.

## **9. Not Exhaustive**

This Notice does not set out all risks.

The risks applicable to any investment depend on individual circumstances and transaction terms.

## **10. General Risk Categories**

Risks include:

- liquidity risk;
- market risk;

- settlement risk;
- currency risk;
- operational risk;
- regulatory risk;
- legal risk; and
- barriers to divestment.

### **11. Tokinvest Insolvency Risk**

In the event of Tokinvest insolvency:

- investors rely on contractual rights, internal records, and custody arrangements;
- investor entitlements are determined solely by Tokinvest's internal records, which are not independently recognised by the Issuer, Pinetree, or the fund registrar;
- access to the platform and Tokens may be restricted or suspended;
- investor positions may be subject to reconciliation processes across internal records, custody providers, and upstream distributors; and
- recovery of value will depend on applicable legal frameworks, custody arrangements, and Tokinvest's rights within the distribution chain.

Delays, partial recovery, or total loss may occur.

There is no assurance that investor interests will be fully protected or that access to underlying fund exposure can be preserved in a timely manner.

### **12. Distributor and Counterparty Risk**

Tokinvest relies on third-party distributors and service providers to access and transact in the underlying fund.

Failure or disruption of these parties may:

- delay or prevent execution;
- impact pricing or settlement; and
- impair investor access to underlying exposure.

### **13. Commingling and Omnibus Account Risk**

Underlying fund positions may be held in omnibus or commingled accounts at distributor or intermediary level (including Pinetree).

Tokinvest is recognised as a single investor at the distributor level, and underlying investors are not recorded or recognised by Pinetree, the Issuer, or the fund registrar.

As a result:

- investor holdings are not individually segregated at the fund or distributor level;
- investor entitlements are determined solely by Tokinvest's internal records;
- errors, delays, or discrepancies in reconciliation may affect investor entitlements; and
- in insolvency or operational failure scenarios, recovery of interests may be delayed, reduced, or uncertain.

**14. Conflicts of Interest Framework**

Tokinvest performs ongoing conflicts-of-interest assessments across its roles as platform operator and distributor.

Conflicts are managed through governance controls, segregation of duties, and compliance oversight

**15. Fee Incentive Risk**

Fees are disclosed and applied in accordance with applicable documentation.

Fee structures may create incentives related to transaction volume or platform usage.

**16. Execution and Timing Risk**

Execution timing depends on fund dealing cycles, distributor processing, and operational workflows.

Tokinvest does not control fund-level execution timing.

Transactions may be subject to delays, including those arising from funding, settlement, and processing timelines across jurisdictions.

**17. Tax and Legal Risk**

Tokinvest does not advise on tax or legal consequences.

Investors are responsible for compliance with applicable laws and tax obligations.

**18. Acknowledgement of Risk**

By accessing the Product, investors acknowledge and accept the risks described in this Notice.

**19. Reliance on Documentation**

Investors must read the Whitepaper, this Risk Disclosure Statement, and all relevant fund documentation before making any investment decision.

*Market and Virtual Asset Risks***20. Market Risk**

The value of the Token reflects the performance of the underlying fund and may fluctuate.

**21. Financial Crime Risk**

Virtual Asset markets may be exposed to fraud, manipulation, or illicit activity.

**22. Cybersecurity Risk**

Systems may be subject to cyber-attacks, data breaches, or operational compromise.

**23. Transparency and Ownership Risk**

Blockchain addresses do not identify beneficial ownership.

Verification of ownership depends on Tokinvest's internal records and custody arrangements.

## **24. Core Virtual Asset Risks**

Virtual Assets:

- may lose value;
- may not be transferable;
- may be illiquid; and
- may be subject to theft or fraud.

## **25. Regulatory Risk**

Regulation may evolve and affect:

- access;
- transferability; and
- platform operations.

## **26. Technology and Internet Risk**

Platform access may be disrupted due to connectivity or system failures.

## **27. Emerging Technology Risk**

Virtual Assets operate within a rapidly evolving technological environment.

## **28. Legal Uncertainty**

Legal treatment of Virtual Assets may vary across jurisdictions.

## **29. Wallet and Access Risk**

Loss of credentials or access controls may restrict access to the platform and Token-related functionality.

## **30. Token Pricing Risk**

Pricing of the Token may differ from the underlying fund's net asset value (NAV) due to:

- timing differences between NAV calculation and platform processing;
- subscription and redemption processing delays;
- applicable fees and charges; and
- liquidity conditions

Investors may not be able to transact at NAV.

## **31. Distributed Ledger Technology Risk**

Distributed ledger systems may:

- experience downtime;
- be subject to protocol changes; or
- be exposed to security vulnerabilities.

## **32. Amendments**

Tokinvest may amend this Notice in accordance with regulatory requirements.

### **33. Fiat and Payment Provider Risk**

Tokinvest relies on third-party banking and payment providers. Failures, delays, or restrictions may affect funding and withdrawals.

#### *Fund-Specific Risks*

### **34. Money Market Fund Risks**

The underlying fund is subject to:

- interest rate risk;
- credit risk;
- liquidity risk; and
- counterparty risk.

Money market funds may incur losses and do not guarantee capital preservation.

### **35. NAV and Pricing Risk**

The Token is intended to reflect the NAV of the underlying fund; however, pricing may diverge due to:

- operational timing differences;
- processing delays across the distribution chain;
- fees and charges;
- foreign exchange movements; and
- liquidity conditions.

NAV is not a guaranteed exit price.

### **36. Redemption Risk**

Redemption of Tokens depends on:

- the ability of Tokinvest to process redemption instructions; and
- the liquidity of the underlying fund.

Redemptions may be affected by:

- dealing cycles and cut-off times;
- liquidity constraints;
- distributor or issuer restrictions; and
- operational or regulatory factors.

Redemptions may be delayed, suspended, or executed at a price different from expectations.

## *Technology and Platform Risks*

### **37. Smart Contract Risk**

The Product may utilise distributed ledger or smart contract infrastructure as part of it is tokenisation and record keeping framework.

This may result in:

- incorrect execution;
- loss or freezing of Tokens;
- disruption to platform functionality; or
- administrative intervention.

No assurance can be given that such systems are free from defects.

### **38. Secondary Market Risk**

The Product does not currently provide an active secondary market. Investors may only realise liquidity through the redemption process and may experience delays or restrictions in accessing liquidity.

### **39. Platform Suspension Risk**

Tokinvest may suspend access to the platform, in whole or in part, for operational, security, legal, or regulatory reasons.

During any suspension:

- access to accounts may be restricted;
- transactions may be delayed or prevented; and
- functionality may be limited.

Tokinvest does not guarantee uninterrupted availability.

### **40. Regulatory Intervention and Licence Risk**

Regulatory authorities may impose restrictions or actions affecting Tokinvest's operations.

Such actions may:

- restrict or suspend activity;
- impose additional requirements;
- require operational changes; or
- result in licence suspension or revocation.

This may materially affect investor outcomes.

### **41. Geo-Restriction Risk**

Access to the Product may be restricted based on jurisdiction.

Users may lose access due to regulatory changes.